

OCAD - ONE COMPANY A DAY

SERIES: TRANSPORTATION

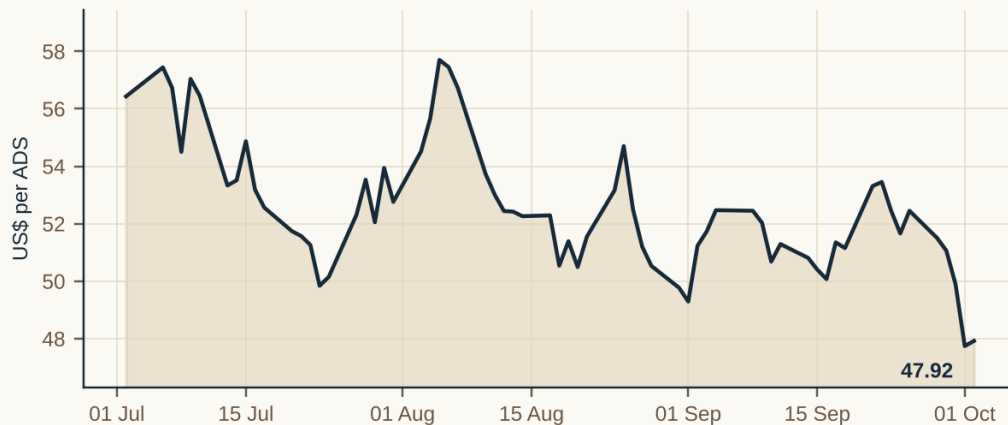
LATAM Airlines Group

Equity Research Report

LTM | New York Stock Exchange (American Depositary Shares) | Chile

US\$ 47.92 per ADS

Closing price, Friday 2 October 2026



LTM daily closing price, 2 July 2026 to 2 October 2026, US\$ per ADS. Source: Alpha Vantage daily price series.

REPORT DATE
3 October 2026

ANALYST
Arthur Faugeron

SERIES
Transportation

EXCHANGE
NYSE: LTM

Executive Summary

BASIS Figures are in US dollars, which is LATAM's reporting currency under IFRS. Share data is per American Depositary Share (ADS); each ADS represents 2,000 common shares (calculated from 574.2bn shares and 287.1m ADS equivalents). Latest balance sheet: 30 June 2026. Latest price: close of 2 October 2026.

Business

LATAM is the largest airline group in South America, flying 87 million passengers in 2025 across domestic markets in Chile, Peru, Brazil, Colombia and Ecuador and long-haul international routes, with a dedicated freighter fleet. **SOURCED** Revenue is overwhelmingly passenger (86.4% of 2Q26 revenue); cargo is 12.2%. The 56 million member LATAM Pass loyalty program accounts for 67% of passenger revenue, and the group runs a joint venture with Delta Air Lines. **SOURCED**

Financial Condition

FY2025 revenue was US\$14.3bn (+11.2% year on year on normalized data), operating income US\$2.3bn (16.4% margin), EBITDA US\$3.3bn, and net income US\$1.46bn. Operating cash flow was US\$3.26bn and free cash flow US\$1.49bn after US\$1.77bn of capital expenditure. **SOURCED AND CALCULATED**

At 30 June 2026 gross debt including leases was US\$9.0bn, cash US\$2.65bn and net debt US\$6.37bn, equal to 1.5x adjusted EBITDA. A fuel price shock cut 2Q26 operating margin to 5.4% from 12.9% a year earlier, and full-year operating margin guidance was lowered to 12% to 13% from 15% to 17%. **SOURCED**

Market Position

Main competitors are Sky Airline, JetSMART, Avianca, Gol, Azul and the US and European carriers on long-haul routes; in cargo, Maersk, CMA CGM and MSC are entering air logistics. **SOURCED** The main advantage is a multi-hub network and a loyalty program that anchors high-yield customers; the main weakness is a leveraged, lease-heavy balance sheet with only 7.6% to 10.2% equity to assets and a 0.67 current ratio. **REASONED**

Valuation

VALUATION SNAPSHOT AT US\$47.92

Metric	Value	Basis
Market capitalization	US\$13.7bn	Calculated: 287.1m ADS x US\$47.92
Enterprise value	US\$20.0bn	Calculated: market cap + net debt US\$6.37bn
P/E, trailing	8.7x	Sourced, StockAnalysis
P/E, forward	7.6x	Sourced, StockAnalysis
EV/EBITDA, trailing	5.3x	Sourced, StockAnalysis
P/FCF	7.1x	Calculated: market cap / TTM FCF US\$1.93bn
Dividend yield	2.0%	Sourced, StockAnalysis

Metric	Value	Basis
DCF range, per ADS	US\$27 to US\$77, base US\$52	Calculated, section C5

Investment Framework

WHAT IS ATTRACTIVE	Low earnings multiples (8.7x trailing, 5.3x EV/EBITDA), 2.4x operating cash flow to net income in FY2025, a 1.5x net leverage ratio against a 2.0x target, and combined dividends and buybacks of about US\$1.2bn in 2025. Reasoned from sourced data.
WHAT IS CONCERNING	Fuel absorbed 40.9% of 2Q26 revenue, the equity base is thin, the current ratio is 0.67, and the stock has fallen 27.2% from its 30 January 2026 monthly close of US\$65.81.
WHAT MUST GO RIGHT	Fuel prices must normalize toward the US\$130 per barrel assumed for 4Q26, capacity growth of 9% to 10% must be absorbed without yield erosion, and deliveries of 28 further aircraft in 2026 must proceed on schedule.
WHAT COULD BREAK THE THESIS	A sustained jet fuel level above guidance assumptions, a Brazilian real devaluation, engine groundings, or a Latin American recession cutting premium demand.
PRICED IN	At US\$47.92 the stock sits between the bear (US\$27) and base (US\$52) DCF values; the market is pricing a steady operating margin near 11% with 4% growth (Reasoned).

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Good: scale hubs, loyalty income, cyclical economics
Financial quality	Improving: strong cash conversion, thin equity
Competitive position	Strong in the region, moderate moat
Growth profile	Moderate: capacity growth 9% to 10% in 2026
Balance-sheet risk	Moderate to elevated: leases and fuel exposure
Valuation	Low multiples, fair to modestly discounted to base DCF
Market and technical profile	Weak short-term trend, below 50-day average

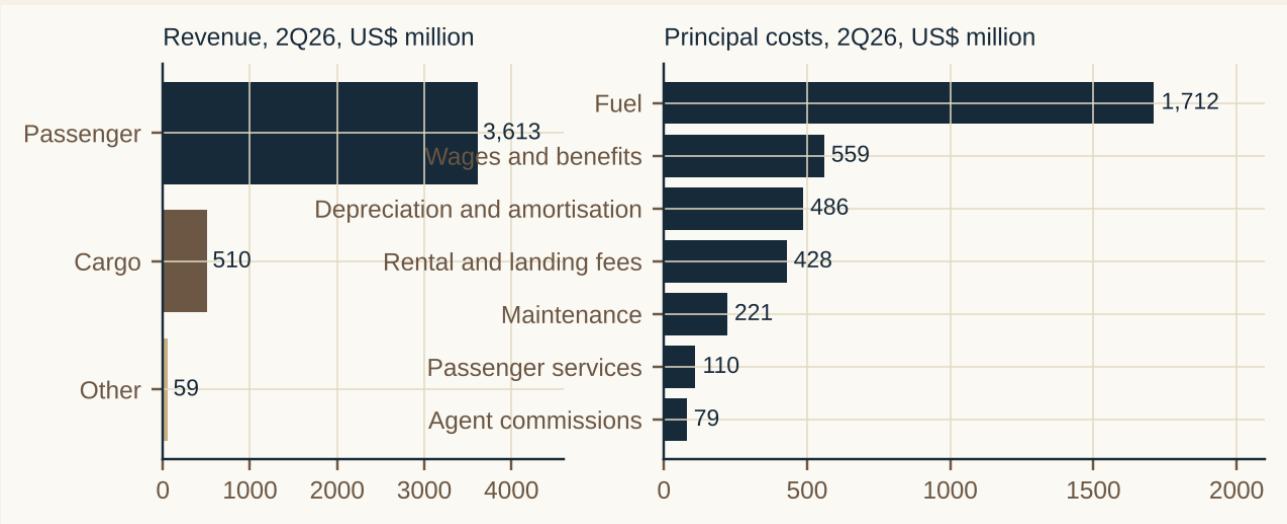
A. About the Business

A1. Business Environment

LATAM operates in scheduled passenger air transport and air cargo in Latin America. The value chain runs from aircraft and engine manufacturers (Airbus, Boeing, Embraer, Pratt and Whitney) and lessors, through fuel suppliers and airports and air traffic control, to the airline, then to distributors (travel agencies, online channels, the airline's own digital platforms) and finally to travelers and shippers. Airlines sit at the end of the chain with the lowest structural margin: IATA expects the world industry to earn a 2.0% net margin in 2026 on US\$1.165 trillion of revenue, down from 4.2% in 2025. SOURCED, IATA

Latin America is forecast to earn US\$1.2bn of net profit in 2026 (2.1% margin) against US\$1.9bn (3.8%) in 2025, with 5.0% demand growth, and IATA flags currency depreciation and limited financial flexibility as regional constraints. Jet fuel is assumed at US\$152 per barrel on average in 2026 versus US\$90 in 2025, lifting fuel to 31.4% of industry operating costs. SOURCED, IATA LATAM, by contrast, earned a 16.4% operating margin in 2025, a multiple of the regional average margin, which shows the group's position is not typical of the region.

Revenue pools and cost pools: LATAM, 2Q26



Source: LATAM Airlines Group, Earning Release 2Q 2026, 4 August 2026. Revenue shown as reported by the company (total US\$4,183m). Units: US\$ million.

Capital intensity is high. Aircraft are depreciated over long lives and financed by debt and leases, which is why LATAM carries US\$9.0bn of gross debt against US\$2.0bn of equity. The industry is cyclical (demand falls in recessions and shocks, as in 2020 when LATAM lost US\$4.5bn), regulated on safety, slots, antitrust and consumer protection, and dependent on technology through revenue management, maintenance and engines. Supply is constrained at present by aircraft and engine delivery delays, which supports pricing; LATAM reports engine groundings affecting 13 aircraft at the end of 2025.

SOURCED

Classification: the industry is mature and structurally consolidating, and currently highly cyclical. Mature, because passenger growth tracks GDP plus a few points (IATA: 2.4% passenger growth globally in 2026). Consolidating, because Latin America has seen restructurings of Gol and Azul in Brazil and the formation of larger groups. Cyclical, because fuel and currency swings move margins by several points within a single year, as 2Q26 demonstrated. REASONED Value is created by network scale, loyalty economics, load factors and cost discipline, and captured mainly by the carriers with hub control and scarce slots, and by lessors and engine makers at the supply side.

A2. What Does the Company Do?

Explained to a new employee: LATAM sells seats and cargo space on aircraft it owns or leases. A customer buys a ticket through the website, app, agent or corporate contract. The airline flies them on short-haul domestic legs inside Chile, Peru, Brazil, Colombia and Ecuador and long-haul legs to North America, Europe and Oceania. Spare belly capacity on passenger jets and 20 Boeing 767-300 freighters carry cargo, concentrated in a few product categories such as Chilean fish, shellfish and fruit exports. **SOURCED** The LATAM Pass program gives frequent flyers miles that are also sold to card issuers and retailers, which turns loyalty into a recurring fee stream.

How one dollar of 2Q26 revenue is used

Calculated from the 2Q26 earning release on revenue of US\$4,183m: fuel absorbed 40.9 cents, wages and benefits 13.4 cents, depreciation and amortization 11.6 cents, rental and landing fees 10.2 cents, maintenance 5.3 cents, passenger services 2.6 cents and agent commissions 1.9 cents. Other costs consumed about 8.7 cents and operating profit retained 5.4 cents.

CALCULATED

1. CUSTOMER Leisure and business travelers, shippers, 56m LATAM Pass members	2. PRODUCT AND SERVICE Domestic, regional and long-haul flights; belly and freighter cargo; loyalty program	3. REVENUE Passenger US\$3,613m, cargo US\$510m, other US\$59m in 2Q26
4. COSTS Fuel 40.9c, wages 13.4c, depreciation 11.6c, rentals and landing 10.2c per revenue dollar	5. OPERATING PROFIT 5.4c per dollar in 2Q26; 12.0% to 13.0% guided for 2026	6. CASH FLOW FY2025 operating cash flow US\$3.26bn; free cash flow US\$1.49bn
		7. CAPITAL ALLOCATION Fleet capex, debt service, dividends US\$605m, buybacks US\$585m in 2025

The most economically important parts are passenger revenue per available seat kilometer (passenger RASK of 8.1 cents in 2Q26, up 17.5%), fuel cost, and load factor (81.8% in 2Q26). Pricing is dynamic and set by revenue management; about 67% of passenger revenue comes from loyalty members, which makes demand stickier than for a pure low-cost carrier. Cargo yields rose 17.8% to 44.5 cents per revenue ton kilometer. **SOURCED** Unit economics beyond RASK and CASK (ex-fuel passenger CASK 4.5 cents, +5.6%) were not disclosed in the retrieved sources.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Airbus, Boeing, Embraer	Aircraft suppliers. Fleet of 383: 302 narrow-body, 61 wide-body, 20 freighters. Order for up to 74 Embraer E195-E2 (24 firm, 50 options)	Delivery timing sets capacity growth; 28 deliveries still due in 2026
Pratt and Whitney	PW1100 engine supplier	Engine issues grounded 13 aircraft at end 2025
Delta Air Lines	Joint venture and shareholder	Access to the US market and corporate customers
Qatar Airways	Strategic shareholder and partner	Network reach to the Middle East and Asia
Iberia	Alliance partner	Europe connectivity

Node	Relationship	Why it matters economically
Strategic Equity	Significant shareholder	Governance influence; ownership percentages Not Retrieved
Fuel suppliers and markets	Price taker; hedges 45% of 3Q26 and 27% of 4Q26 consumption	Fuel is the largest cost and the main source of margin volatility
Subsidiary airlines	Airlines in Chile, Peru, Brazil, Colombia, Ecuador, Paraguay and cargo operations	Local operating licenses and domestic cabotage rights
Lenders and bondholders	2030 notes US\$1,401m at 7.875%; 2031 notes US\$816m at 7.625%; fleet debt US\$1,972m at 5.30%	Cost of capital and refinancing risk
Pass program partners	Banks, retailers and card issuers (partners not itemized)	High-margin loyalty income

Sources: LATAM Form 20-F FY2025 and 2Q26 earning release. Shareholder percentages are Not Retrieved.

The network is best read as a hub and spoke system: Santiago, Lima, Sao Paulo, Bogota and Quito feed long-haul flights run with partners. Concentration risk sits with a small number of aircraft and engine suppliers and with a shareholder base the filing describes as having potentially conflicting interests. SOURCED AND REASONED

A4. Competition

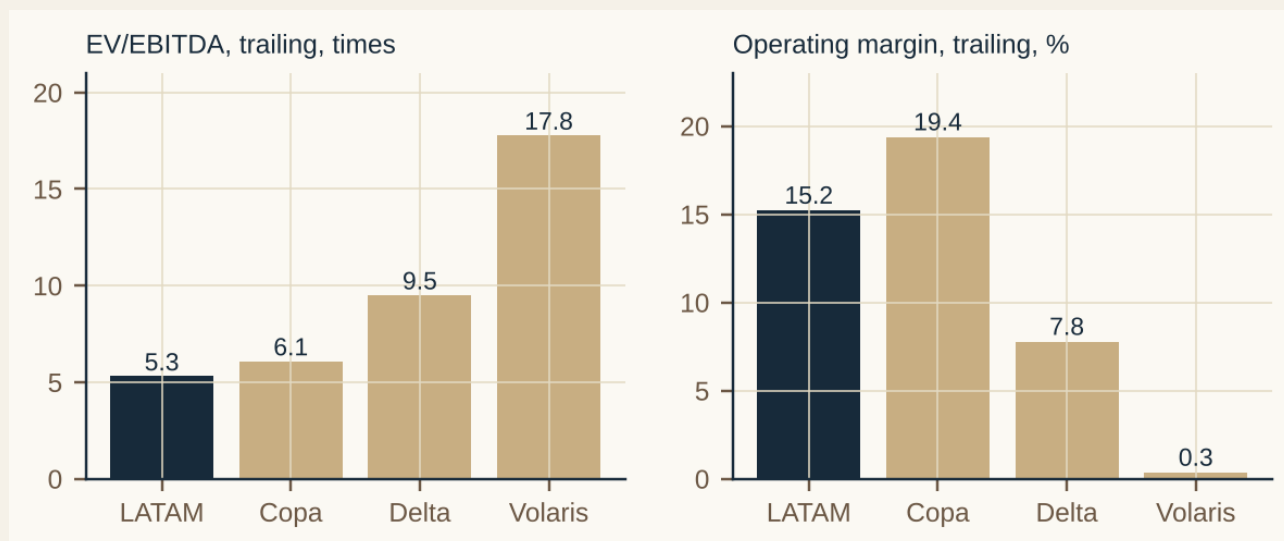
Competitors named in the Form 20-F are low-cost carriers (Sky Airline, JetSMART, Avianca), regional carriers (Gol, Azul), international carriers (American, United, Air France-KLM) and, in cargo, container lines Maersk, CMA CGM and MSC. SOURCED Metrics for relevant listed peers are below; peers were chosen because they fly overlapping Latin American routes (Copa, Volaris) or are the principal strategic partner and a benchmark for network carriers (Delta). Gol and Azul were excluded from the multiples because restructuring distorts their balance sheets.

COMPETITIVE COMPARISON, TRAILING BASIS, US\$

Company	Business model and geography	Revenue	Operating margin	EV/EBITDA	Net debt
LATAM (LTM)	Full-service hub carrier; South America and long-haul	US\$15.9bn	15.2%	5.3x	US\$6.4bn
Copa Holdings (CPA)	Panama hub, Latin America and US; single fleet	US\$4.0bn	19.4%	6.1x	See note
Delta Air Lines (DAL)	US network carrier, JV partner of LATAM	US\$68.3bn	7.8%	9.5x	US\$16.4bn
Volaris (VLRS)	Mexican low-cost carrier, Mexico and US	US\$3.3bn	0.3%	17.8x	Not comparable

Sources: StockAnalysis statistics pages for CPA, DAL and VLRS (accessed 3 October 2026); LATAM operating margin calculated from TTM quarterly data. Copa and Volaris net debt are reported with inconsistent signs by the data provider and are therefore not compared.

Peer valuation and profitability



Sources: StockAnalysis (CPA, DAL, VLRS, LTM) accessed 3 October 2026; LATAM operating margin calculated from the four quarters to June 2026. Units: times and percent.

Relative position: LATAM trades at the lowest EV/EBITDA of the four despite a margin second only to Copa, which suggests the market applies a discount for leverage, currency and country risk rather than operating weakness. Copa is the better balance-sheet story; Volaris shows what a fuel shock does to a thin-margin low-cost carrier; Delta carries higher multiples because of US scale and diversified revenue. **REASONED**

A5. Competitive Differences

ADVANTAGES AND DISADVANTAGES

Factor	Assessment	Type
Hub scale and route density	Large share of intra-South America capacity; 383 aircraft	Structural
Loyalty program	56m members, 67% of passenger revenue, elite members +26%	Structural
Partnerships	Delta joint venture, Iberia, Qatar Airways	Structural, contract-dependent
Cost position	Passenger CASK ex-fuel 4.5 cents, +5.6%; wages +25.0% in 2Q26	Temporary
Fleet renewal	79 of 302 narrow-bodies are NEO type; fleet planned to reach 452 aircraft by 2028	Temporary
Balance sheet	Net leverage 1.5x but equity only US\$2.0bn	Disadvantage
Fuel and currency exposure	Fuel absorbed 40.9% of 2Q26 revenue; BRL exposure hedged 64% for 3Q26	Disadvantage
Unionization	About 47% of workforce unionized	Disadvantage

Moat rating: Moderate. Network breadth and loyalty create customer inertia and the best slot positions at constrained hubs, and the 2025 operating margin of 16.4% exceeded the regional average margin by a wide gap. However, airlines lack pricing power over fuel, aircraft costs are matched by rivals, and low-cost entrants can attack individual routes. The advantages from fleet renewal and hub positions are temporary relative to loyalty and partnerships. **REASONED**

A6. Industry Trend

Growth: IATA forecasts global passenger numbers of 5.1bn in 2026, up 2.4%, and Latin American demand growth of 5.0%. LATAM guides capacity growth of 9% to 10% in 2026, roughly double the regional demand growth, and passenger RASK is rising 17.5% year on year in 2Q26, which indicates that pricing has absorbed part of the fuel increase. SOURCED Structural trends: fleet renewal, loyalty monetization, and cargo moving to e-commerce. Temporary conditions: the 2026 fuel spike (jet fuel assumed at US\$147 per barrel in 3Q26 and US\$130 in 4Q26 in LATAM guidance) and Middle East disruptions cited by IATA. SOURCED

Classification: cyclical and consolidating. What could reverse the trend: a global recession, a stronger dollar against the Brazilian real, supply chain relief that lets rivals add capacity faster, or an extended jet fuel price above US\$150 per barrel.

REASONED

A7. Management

EXECUTIVE TEAM AS LISTED BY THE COMPANY

Name	Position
Roberto Alvo	Chief Executive Officer
Ramiro Alfonsin	Chief Commercial Officer
Hernan Pasman	Chief Operating Officer and Maintenance
Paulo Miranda	Chief Customer and Experience Officer
Juliana Rios	Chief Digital and IT Officer
Emilio del Real	Human Resources Vice President
Juan Carlos Mencia	Vice President of Legal Affairs and Compliance
Juan Jose Toha	Director of Corporate Affairs and Sustainability

Source: LATAM Airlines Group investor relations website, management page, accessed 3 October 2026. Biographies, tenures, insider ownership and the CFO name were Not Retrieved from this page.

Assessment is therefore based on outcomes rather than biographies. Capital allocation in 2025 was shareholder-friendly: US\$605m in dividends and US\$585m of repurchases, together about 80% of FY2025 free cash flow of US\$1.49bn (calculated), while adjusted net leverage was held at 1.5x against a stated target below 2.0x. Shareholders approved a repurchase program of up to 5% of shares over five years, and the dividend policy references a statutory minimum of 30% of net income. SOURCED Guidance accuracy is mixed: February guidance called for a 15% to 17% operating margin, and by August this had been cut to 12% to 13% with leverage allowed to rise, yet the cause is an external fuel shock and the company reported 1H26 adjusted operating income up 5.4% to US\$1,049m. Alignment with shareholders looks reasonable, but governance is complicated by strategic shareholders with their own commercial interests. REASONED

B. Evaluation

B1. Financial and Operating Metrics

PROFITABILITY AND GROWTH, US\$ MILLION UNLESS STATED

Metric	FY2023	FY2024	FY2025	TTM to Jun 2026
Revenue	11,641	12,833	14,265	15,878
Gross profit (revenue less cost of sales)	2,824	3,267	4,160	Not Retrieved
Gross margin	24.3%	25.5%	29.2%	Not Retrieved
Operating income	1,078	1,541	2,336	2,411
Operating margin	9.3%	12.0%	16.4%	15.2%
EBITDA (provider normalized)	2,278	2,614	3,278	About 3,690 (implied)
EBITDA margin	19.6%	20.4%	23.0%	About 23.2%
Net income	582	977	1,460	1,564
Net margin	5.0%	7.6%	10.2%	9.9%

Sources: Alpha Vantage income statements (normalized to IFRS taxonomy); TTM calculated from four reported quarters. Company-reported FY2025 revenue US\$14,495m and net income attributable US\$1,462m differ from normalized figures (see section G).

RETURNS, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY2024	FY2025	Meaning
ROE	n.m.	141% (avg equity)	Inflated by a thin equity base; not a quality signal
ROIC	Not Retrieved	27.1% (sourced)	Returns on capital far above a 10.5% cost of capital
ROA	6.4%	8.3%	Net income / year-end assets
Asset turnover	Not Retrieved	0.87x	Revenue / average assets
Net debt / EBITDA	2.0x	1.8x	On provider EBITDA; company adjusted measure is 1.5x
Debt / equity	9.9x	6.0x	Includes lease liabilities
Interest coverage (EBIT / interest)	1.9x	3.2x	Improving
OCF / net income	3.2x	2.2x	Cash earnings exceed accounting earnings
Capex / revenue	11.1%	12.4%	Rising with fleet growth
FCF margin	13.1%	10.4%	OCF less capex, divided by revenue

Calculated from Alpha Vantage statements; ROIC from StockAnalysis. n.m. means not meaningful. Inventory and receivables turnover are of little analytical value for an airline and are not shown.

Growth: revenue compounded at 10.7% a year between FY2023 and FY2025 and at 30.7% a year between FY2021 and FY2025, although the latter starts from the pandemic trough. EBITDA grew 20.0% a year and net income 58.4% a year over FY2023 to FY2025 (calculated). Margins expanded because capacity grew faster than the cost base while load factor stayed above 82%. **CALCULATED** Against peers, LATAM's TTM operating margin of 15.2% sits below Copa (19.4%) and above Delta (7.8%) and Volaris (0.3%).

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Jet fuel price	High	High	Fuel absorbed 40.9% of 2Q26 revenue; 2Q26 operating margin fell to 5.4% from 12.9%; only 27% of 4Q26 consumption is hedged
2	Leverage and refinancing	Medium	High	US\$9.0bn gross debt, US\$2.0bn equity, current ratio 0.67, 2030 and 2031 notes at 7.6% to 7.9%
3	Brazilian real and regional currencies	Medium	High	Revenue in local currencies, costs largely in dollars; BRL hedged 64% for 3Q26 and 0% from 1Q27
4	Engine and supply delays	High	Medium	13 aircraft affected by PW1100 issues at end 2025; growth depends on 28 more deliveries in 2026
5	Latin American recession or political shock	Medium	High	Premium demand and cargo exports are concentrated in a few products
6	Competition and low-cost entry	Medium	Medium	Sky, JetSMART, Avianca; container lines entering cargo
7	Labor	Medium	Medium	About 47% of workforce unionized; wage cost +25.0% in 2Q26
8	Valuation and technical risk	Medium	Medium	Stock down 15.1% in three months; sentiment sensitive to oil
9	Regulatory and antitrust	Low	Medium	Joint venture and alliance approvals
10	Cybersecurity and technology	Low	Medium	Reliance on digital sales and loyalty platforms

Probability and impact are analyst judgments (Reasoned) informed by sourced figures. Source data: LATAM Form 20-F FY2025 and 2Q26 earning release.

The three risks most capable of permanently impairing value are, in order: a prolonged fuel price spike combined with a demand downturn, which would simultaneously squeeze margins and covenants; refinancing of high-coupon secured notes into a weaker credit market; and a sharp devaluation of regional currencies that would reduce dollar-equivalent revenue while debt remains in dollars. **REASONED**

B3. Valuation

MULTIPLES AT US\$47.92 PER ADS

Multiple	LATAM	Copa	Delta	Volaris
P/E, trailing	8.7x	8.7x	14.0x	n/a

Multiple	LATAM	Copa	Delta	Volaris
P/E, forward	7.6x	7.5x	11.9x	n/a
EV/EBITDA	5.3x	6.1x	9.5x	17.8x
EV/EBIT (calculated)	8.3x	Not Retrieved	Not Retrieved	Not Retrieved
P/S	0.86x	Not Retrieved	Not Retrieved	Not Retrieved
P/FCF	7.1x (calc.); 6.1x (provider)	23.4x	16.1x	1.2x
Dividend yield	2.0%	Not Retrieved	Not Retrieved	Not Retrieved

Sources: StockAnalysis statistics pages, accessed 3 October 2026. EV/EBIT calculated as US\$20.0bn EV divided by TTM operating income US\$2,411m. PEG not shown: forward growth consensus not retrieved.

Own-history comparison, calculated from year-end ADS prices and normalized earnings per ADS: the trailing P/E was about 8.5x at December 2024 (US\$27.58 divided by EPS of US\$3.23) and about 10.9x at December 2025 (US\$54.01 divided by EPS of US\$4.95). The current 8.7x therefore sits between those levels and well below the December 2025 level, although the history is short because the ADS relisted in July 2024. CALCULATED

Expectations embedded in the price: using the DCF in section C5 with a 10.5% discount rate and 2.5% terminal growth, a share price near US\$48 is consistent with revenue growth of 4% a year after 2026 and a steady operating margin of about 11%, below the 12% to 13% guided for 2026 and the 16.4% achieved in 2025. These expectations appear Conservative relative to guidance, but not relative to a normal fuel environment, because 2026 margins are already depressed by fuel.

REASONED

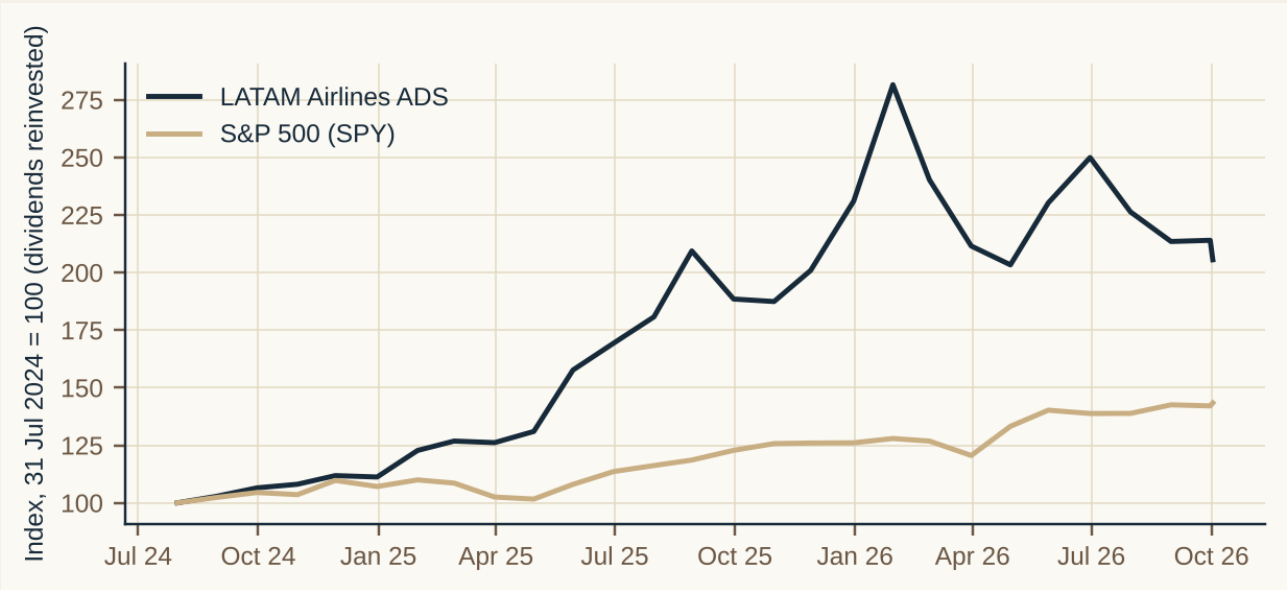
B4. Capital Market and Stock Analysis

PRICE PERFORMANCE AND RETURNS, US\$ PER ADS

Period	Start price	Return	Note
1 day	47.74	0.4%	Close 2 Oct 2026 vs 1 Oct
1 week	52.45	-8.6%	vs 25 Sep close
1 month	51.23	-6.5%	21 trading days
3 months	56.43	-15.1%	vs 2 Jul close
6 months	49.44	-3.1%	vs 31 Mar close
Year to date	54.01	-11.3%	vs 31 Dec 2025 close
1 year	45.25	5.9%	vs 30 Sep 2025 close; 52-week change 8.9% (provider)
Since relisting	24.80	93.2%	vs 31 Jul 2024 close
3 and 5 years	Not Retrieved	Not Retrieved	ADS relisted on NYSE in July 2024

Source: Alpha Vantage daily and monthly price series. Returns are price returns unless stated.

Total return versus the S&P 500, since relisting



Source: Alpha Vantage monthly adjusted closing prices, 31 July 2024 to 2 October 2026; LTM and SPY, dividends reinvested. Index, 31 July 2024 = 100.

Relative performance: including dividends, LTM returned 105.5% against 43.4% for the S&P 500 since July 2024, but over the last year it returned 9.0% against 16.8%. The one year gap reflects the 27.2% pullback from the January 2026 peak (monthly closes), coinciding with the fuel shock. Sector comparison (airline index) was Not Retrieved. CALCULATED

VOLATILITY AND RISK

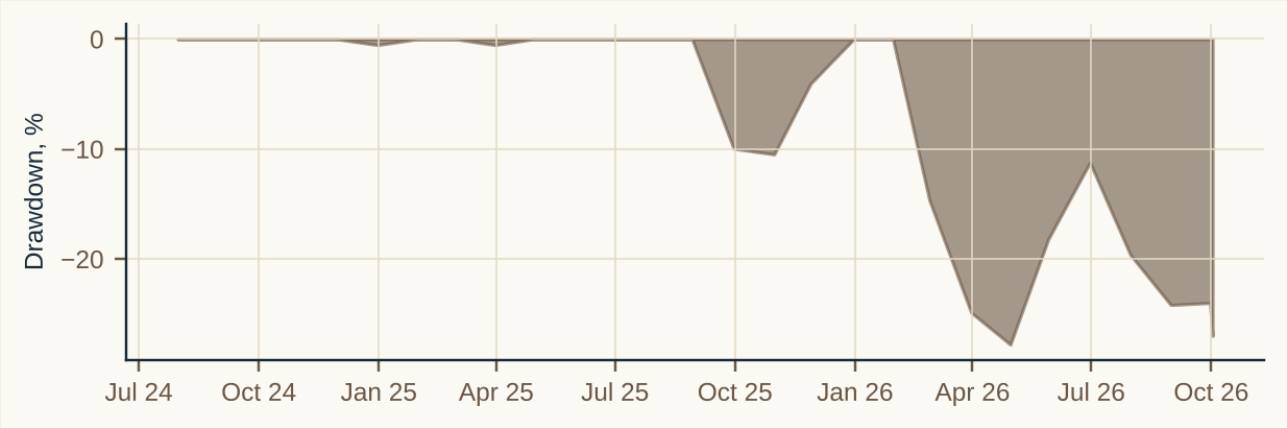
Measure	Value	Basis
Annualized volatility, daily, 100 days	43.0%	Calculated, 12 May to 2 Oct 2026
Downside volatility, annualized	21.6%	Calculated, negative days only
Annualized volatility, monthly, since relisting	32.5%	Calculated; S&P 500 11.9%
Beta versus S&P 500, monthly, since relisting	0.73	Calculated; provider five-year beta 0.88
Correlation with S&P 500	0.27	Calculated, monthly
Maximum drawdown, monthly closes since relisting	-27.8%	Calculated
Maximum drawdown, daily closes in last 100 days	-18.7%	Calculated
14-day average true range	US\$1.54 (3.2% of price)	Calculated

Monthly adjusted close, 2024 to 2026



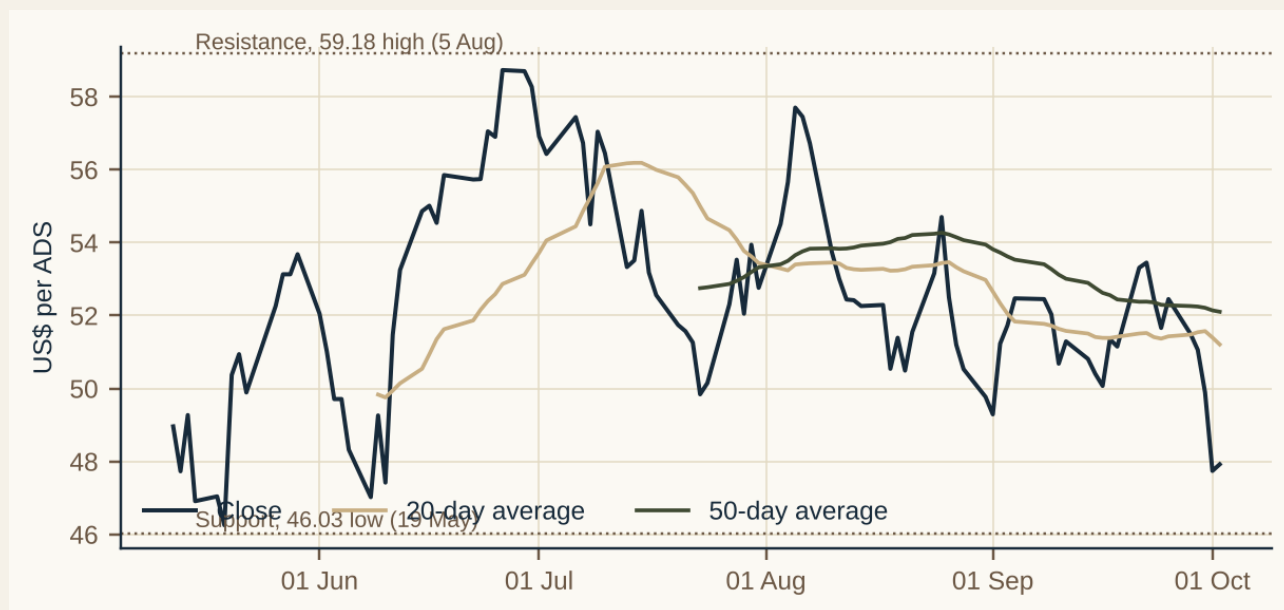
Source: Alpha Vantage monthly adjusted close, July 2024 to October 2026. Units: US\$ per ADS.

Drawdown from running peak, monthly closes



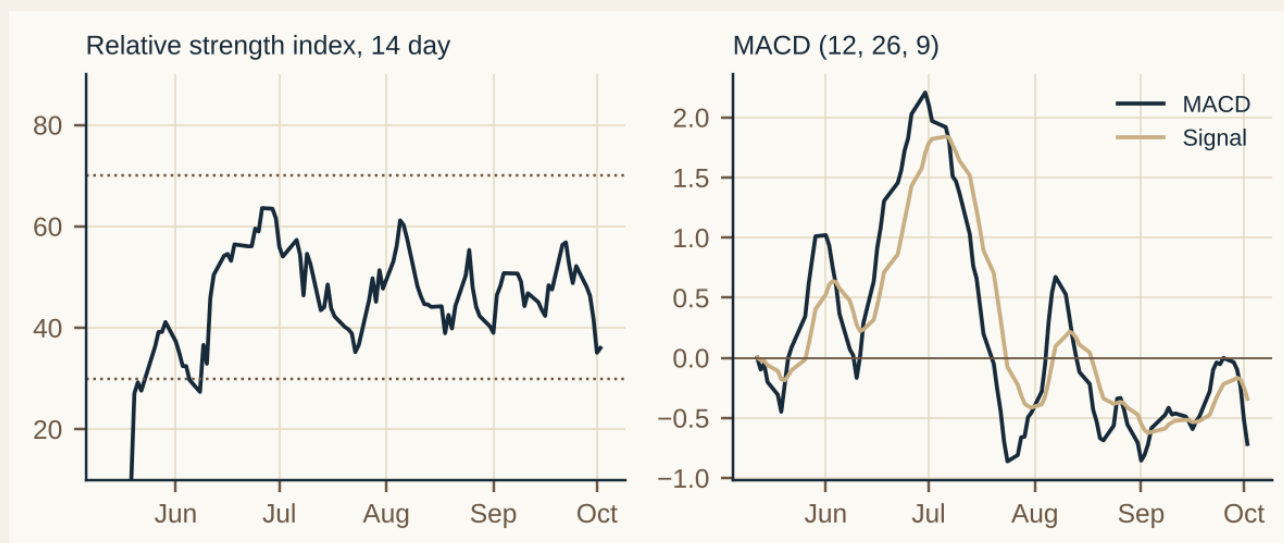
Source: calculated from Alpha Vantage monthly adjusted closes. Units: percent below running maximum.

Price, moving averages, support and resistance



Source: Alpha Vantage daily series, 12 May to 2 October 2026. Units: US\$ per ADS.

Momentum indicators



Source: calculated from Alpha Vantage daily closes, 12 May to 2 October 2026.

Technical structure: the 14-day RSI is 36.0, approaching but not at an oversold reading. The MACD of -0.72 is below its signal line of -0.34, a bearish configuration. The close of US\$47.92 is 8.0% below the 50-day average of US\$52.10 and 10.4% below the 200-day average of US\$53.51 (the latter from StockAnalysis). The stock is sitting 4.1% above the 19 May low of US\$46.03, which is the nearest support; resistance is the US\$59.18 high of 5 August. Average volume over the last 20 days (704,728) is slightly below the 100-day average (780,689), indicating that the decline is not accompanied by rising participation. **CALCULATED** This describes trend and positioning only; it is separate from the fundamental valuation, and a break below US\$46 would shift technical attention to the US\$44 to US\$45 area where the stock closed in September and October 2025.

C. Financial Statements

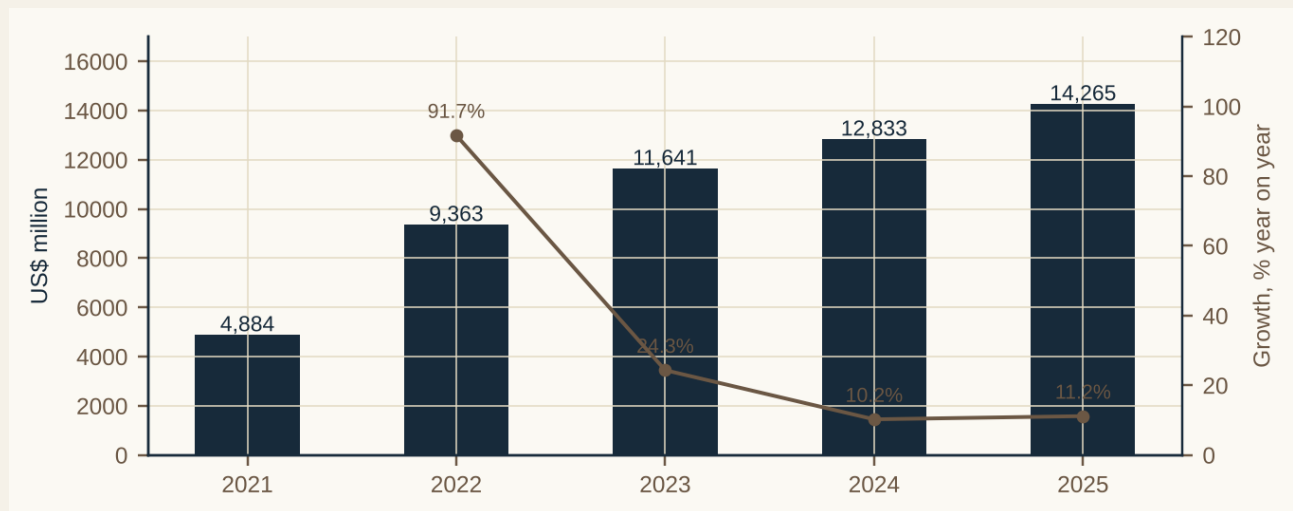
C1. Income Statement

INCOME STATEMENT, US\$ MILLION (IFRS, NORMALIZED)

Line	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	4,884	9,363	11,641	12,833	14,265
Revenue growth	n.m.	91.7%	24.3%	10.2%	11.2%
Cost of sales	4,963	8,104	8,817	9,566	10,105
Gross profit	-79	1,259	2,824	3,267	4,160
Operating income (EBIT)	-3,426	1,212	1,078	1,541	2,336
EBITDA	-2,347	3,223	2,278	2,614	3,278
Interest expense	805	912	683	821	720
Income tax expense	569	9	15	16	155
Net income	-4,647	1,339	582	977	1,460

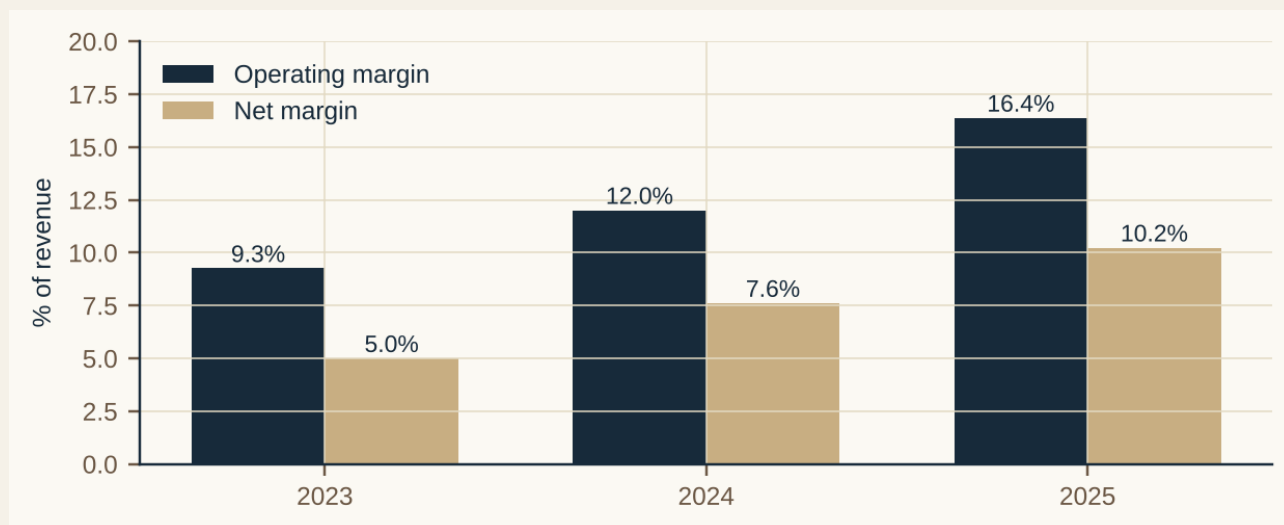
Source: Alpha Vantage income statement series (reported currency USD). FY2022 net income and EBITDA include non-recurring reorganization effects following the 2022 restructuring; derived, not adjusted. Cost of sales derived as revenue less gross profit.

Revenue and annual growth



Source: Alpha Vantage income statements, FY2021 to FY2025. Units: US\$ million and percent.

Operating margin and net margin



Source: calculated from Alpha Vantage income statements. FY2023 to FY2025. Units: percent of revenue.

Drivers: FY2025 revenue growth of 11.2% came from volume (ASK growth of 8.2% and 87 million passengers) and price/mix, with passenger revenue in 4Q25 up 20.3% and cargo down 9.6% (company figures). Currency and acquisitions played no material role in the retrieved sources. Operating leverage was strong: revenue rose 11.2% while operating income rose 51.6%. Operating margin has expanded each year since 2023. Interest expense fell 12.3% in FY2025 to US\$720m as debt was refinanced, and the effective tax charge increased from 1.6% of pretax profit to about 9.6% as tax losses were consumed.

SOURCED AND CALCULATED

2026 so far: 1H26 revenue was US\$8.3bn (+24.6%), driven by passenger revenue up 26.1% and cargo up 12.8%. However, 2Q26 operating margin was 5.4% against 12.9%, because fuel costs rose 93.1% to US\$1,712m while revenue rose 27.6%. Margins are contracting in 2026 for a clear external reason. **SOURCED**

C2. Balance Sheet

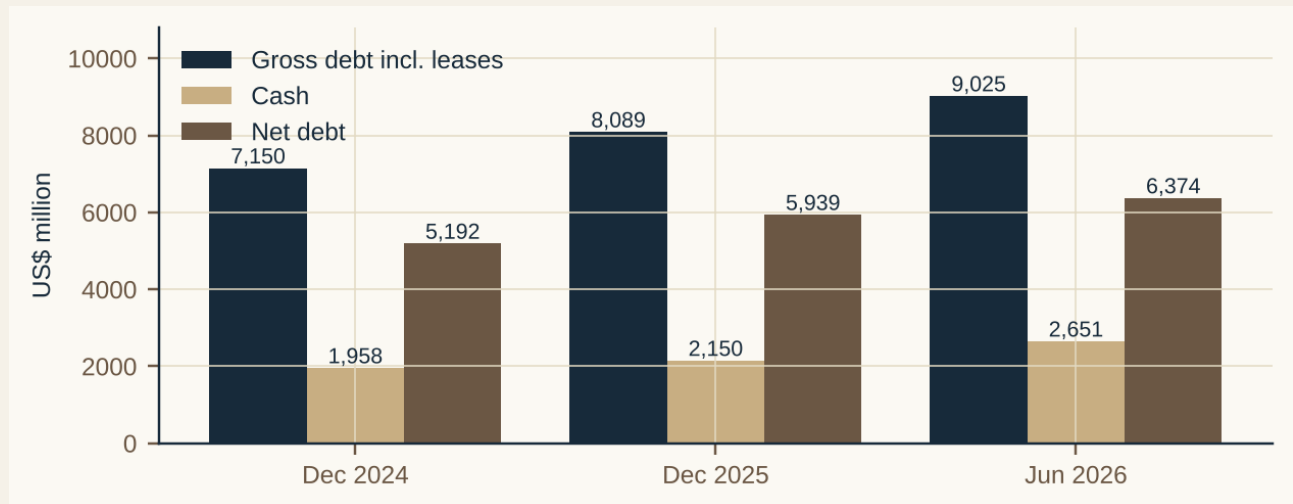
BALANCE SHEET, US\$ MILLION

Line	Dec 2024	Dec 2025	Jun 2026
Cash and equivalents	1,958	2,150	2,651
Receivables	1,368	1,546	1,893
Inventory	439	459	565
Property, plant and equipment	10,187	11,947	Not Retrieved
Intangible assets	1,000	1,130	1,217
Total assets	15,253	17,641	19,648
Accounts payable	1,458	1,827	1,935
Debt excluding leases	2,988	3,607	3,920
Lease liabilities	4,162	4,482	5,105
Total liabilities	14,542	16,304	17,662

Line	Dec 2024	Dec 2025	Jun 2026
Shareholders' equity	723	1,346	2,001
Gross debt including leases	7,150	8,089	9,025
Net debt	5,192	5,939	6,374

Sources: Alpha Vantage balance sheets; June 2026 gross debt and net debt per LATAM 2Q26 earning release. Debt excluding leases derived as total debt less lease obligations; goodwill not reported separately.

Debt, cash and net debt



Sources: Alpha Vantage balance sheets (Dec 2024, Dec 2025); LATAM 2Q26 earning release (Jun 2026). Units: US\$ million.

LIQUIDITY AND SOLVENCY RATIOS

Ratio	Dec 2024	Dec 2025	Jun 2026
Current ratio	0.62	0.60	0.67
Working capital, US\$m	-2,390	-2,911	-2,585
Equity ratio (equity / assets)	4.7%	7.6%	10.2%
Net debt / provider EBITDA	2.0x	1.8x	Not applicable
Adjusted net leverage (company)	Not Retrieved	1.5x	1.5x

Calculated from Alpha Vantage balance sheets and statements; adjusted leverage per LATAM.

Assessment: balance-sheet strength is adequate but not strong. Liquidity of US\$4.2bn (26.2% of trailing revenue, including an undrawn US\$1.6bn revolver) covers near-term maturities, and net leverage of 1.5x is inside the less than 2.0x target. However, the equity ratio of 10.2% is thin, the current ratio below one is typical for airlines (customers pay in advance) but leaves little room, and lease liabilities of US\$5.1bn are 57% of gross debt. Red flags to monitor: receivables up 22.4% in six months to US\$1.9bn against revenue up 24.6% year on year (in line), inventory up 23.2% in six months, and 2030/2031 secured notes with 7.6% to 7.9% coupons. The Altman Z-score of 1.73 (StockAnalysis) sits in the gray zone and is of limited relevance for lease-heavy airlines. CALCULATED AND SOURCED

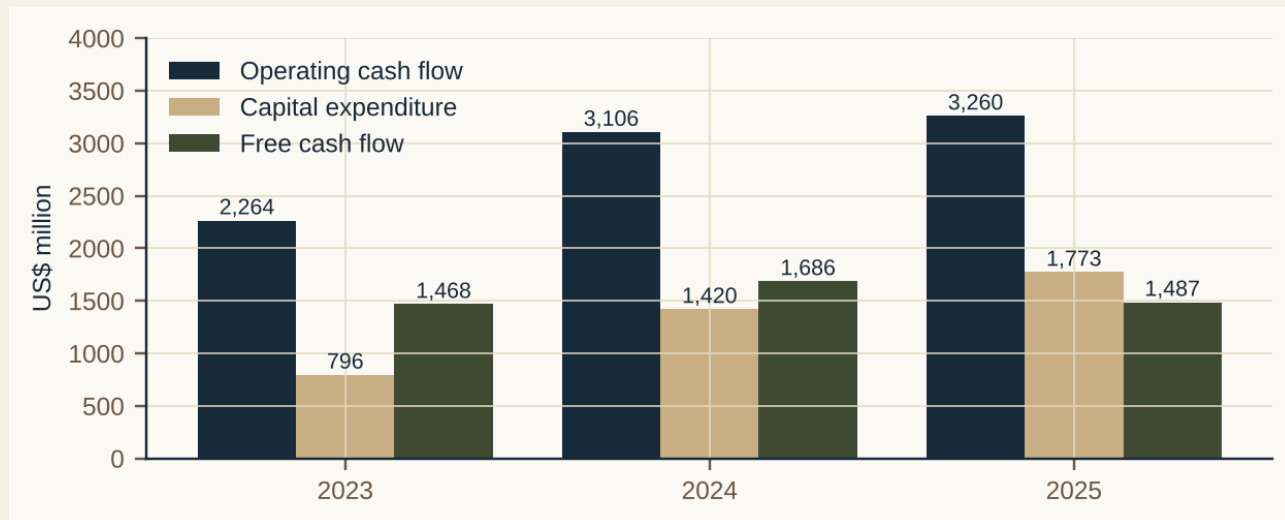
C3. Cash Flow Statement

CASH FLOW, US\$ MILLION

Line	FY2023	FY2024	FY2025	TTM Jun 2026
Operating cash flow	2,264	3,106	3,260	3,498
Capital expenditure	796	1,420	1,773	1,572
Free cash flow (OCF less capex)	1,468	1,686	1,487	1,925
Depreciation and amortization	998	1,184	1,454	Not Retrieved
Dividends paid	0	175	605	Not Retrieved
Share repurchases	Not Retrieved	Not Retrieved	585	Not Retrieved
Financing cash flow	-1,150	-1,565	-1,409	Not Retrieved
FCF margin	12.6%	13.1%	10.4%	12.1%
OCF / net income	3.9x	3.2x	2.2x	2.2x

Sources: Alpha Vantage cash flow statements; repurchases and capex net of financing (US\$1,454m) per LATAM FY2025 results presentation. FCF = operating cash flow less capital expenditure, as defined in this report; the company's levered FCF measure differs.

Operating cash flow, capital expenditure and free cash flow



Source: Alpha Vantage cash flow statements, FY2023 to FY2025. Units: US\$ million.

Earnings are strongly supported by cash: operating cash flow exceeded net income by 2.2x in FY2025, because depreciation of US\$1.45bn and lease-related cash accounting are non-cash charges against earnings and customer prepayments fund working capital. FCF is nonetheless flat (US\$1.49bn versus US\$1.69bn) because capex rose 24.9%. Capital intensity is rising: capex was 12.4% of revenue in FY2025 versus 6.8% in FY2023, as the fleet grows from 371 aircraft at end 2025 toward 452 by 2028. Net income and cash generation diverge in 2022: net income of US\$1.34bn came with only US\$97m of operating cash flow, because the earnings contained non-cash restructuring gains. CALCULATED

C4. Forecasting and Projections

Revenue model: 2026 guidance is US\$17.3bn to US\$17.7bn, which at the midpoint is 20.7% above FY2025 company revenue of US\$14.5bn; this reflects capacity growth of 9% to 10%, higher yields (passenger RASK +17.5% in 2Q26) and higher cargo yields. Beyond 2026 the model assumes growth fading from 6% to 4% as capacity growth converges toward regional demand growth of about 5%. Margin projections: the operating margin falls from 16.4% in 2025 to the 12% to 13% guided for 2026 and holds near 11.5% afterwards in the base case, reflecting normalized fuel. Capex (including lease-funded fleet additions) is assumed at 11.5% falling to 10.5% of revenue versus depreciation at 10.0% of revenue. Maintenance versus growth capex split is Not Retrieved; fleet plan (410 aircraft at end 2026, 424 in 2027, 452 in 2028) indicates the large majority is growth-related. Working capital is assumed neutral. REASONED

SCENARIO SUMMARY, US\$ BILLION

Scenario	Revenue 2030E	Operating margin 2030E	FCFF 2030E	Enterprise value	Equity value	Per ADS
Bear	18.8	8.5%	1.15	14.2	7.8	US\$27
Base	21.2	11.5%	1.79	21.4	15.0	US\$52
Bull	22.5	14.5%	2.43	28.4	22.1	US\$77

Calculated. Revenue 2026E set at US\$17.5bn (guidance midpoint). Bear: growth 2%, 1%, 2%, 2% with margins 11.0%, 9.0%, 8.5%, 8.5%, 8.5%. Bull: growth 8%, 7%, 6%, 5% with margins 13.5%, 14.0%, 14.5%, 14.5%, 14.5%. WACC 10.5%, terminal growth 2.5%.

C5. Discounted Cash Flow (DCF) Model

BASE CASE ASSUMPTIONS AND OUTPUT

Item	Assumption
Revenue 2026E	US\$17.5bn (company guidance midpoint US\$17.3bn to US\$17.7bn)
Revenue growth 2027 to 2030	6.0%, 5.0%, 4.5%, 4.0%
Operating margin	12.5% in 2026, 12.0% in 2027, 11.5% from 2028
Tax rate	22% (below the 27% Chilean statutory rate; Reasoned: tax losses partly remain)
Depreciation and amortization	10.0% of revenue
Capex including lease-funded additions	11.5% falling to 10.5% of revenue
Working capital	Neutral
WACC	10.5% (Reasoned: emerging-market airline, beta 0.73 to 0.88)
Terminal growth	2.5%
Free cash flow to firm 2026E to 2030E, US\$bn	1.44, 1.51, 1.55, 1.66, 1.79
Present value of cash flows / terminal value, US\$bn	6.4 / 15.0
Enterprise value	US\$21.4bn
Net debt (including leases, 30 Jun 2026)	US\$6.37bn

Item	Assumption
Equity value	US\$15.0bn
ADS equivalents outstanding	287.1m (Alpha Vantage, Jun 2026)
Value per ADS	US\$52

Calculated; mid-year-style discounting with 0.25 year offset from valuation date. Because lease liabilities are in net debt and lease-funded aircraft additions are included in capex, lease cash costs are not deducted twice.

Sensitivity: WACC (rows) against terminal growth (columns), value per ADS

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
9.5%	US\$54	US\$58	US\$63	US\$68	US\$74
10.0%	US\$50	US\$53	US\$57	US\$61	US\$66
10.5%	US\$46	US\$49	US\$52	US\$56	US\$60
11.0%	US\$43	US\$45	US\$48	US\$51	US\$55
11.5%	US\$39	US\$42	US\$44	US\$47	US\$50

Sensitivity: 2028 to 2030 operating margin (rows) against annual revenue growth 2027 to 2030 (columns), value per ADS

Margin	2%	4%	6%	8%	10%
9.5%	US\$34	US\$37	US\$41	US\$45	US\$50
10.5%	US\$39	US\$44	US\$48	US\$53	US\$57
11.5%	US\$45	US\$50	US\$55	US\$60	US\$65
12.5%	US\$51	US\$56	US\$61	US\$67	US\$73
13.5%	US\$57	US\$62	US\$68	US\$74	US\$80

Reading the range: values span US\$27 (bear) to US\$77 (bull) per ADS, with a base case of US\$52, 8.9% above the current US\$47.92. The sensitivity grids show that a 1 point change in margin moves value by about US\$5 to US\$6 per ADS, and a 0.5 point change in WACC by about US\$3 to US\$5. The point estimate is not a prediction; it is a range conditional on the stated margin and capital intensity. The result is most sensitive to the capital intensity assumption, which is hard to verify because lease-funded fleet additions are not separately disclosed. CALCULATED AND REASONED

C6. Leveraged Buyout (LBO) Model

Not applicable. An enterprise value of about US\$20bn, an airline cost structure with US\$9.0bn of existing secured and lease debt, cyclical cash flows, and operating licenses subject to national ownership rules make a sponsor-led buyout impractical, and leverage capacity is already used. No LBO returns analysis is presented. REASONED

D. Investment Thesis

Bull Case

Fuel falls toward the US\$130 per barrel assumed for 4Q26 and beyond, while passenger RASK stays near the 2Q26 level of 8.1 cents. Revenue growth runs at 8% fading to 5%, load factor holds above 82%, and loyalty income and cargo yields (44.5 cents, +17.8%) keep rising. The operating margin recovers to 14.5% by 2030, lease and fleet costs fall as a percentage of revenue, and the buyback program (up to 5% of shares) shrinks the share count. The model yields about US\$77 per ADS (calculated, section C5), roughly 60% above the current price. **REASONED**

Bear Case

Growth slows to 1% to 2% as Latin American demand weakens and rival capacity (Sky, JetSMART, Avianca) fills the gap, jet fuel stays above US\$150, and the operating margin compresses to 8.5%. Wages (+25.0% in 2Q26) and engine issues raise costs, capex remains near 10.5% of revenue, and net leverage rises above the 1.8x guided ceiling. The valuation multiple contracts as it did through the 2026 pullback from US\$65.81 to US\$47.92. The model yields about US\$27 per ADS, 43% below the current price. **REASONED**

Base Case

Revenue of about US\$17.5bn in 2026, in line with guidance, then growth of 4% to 6%; operating margin of 12% to 13% in 2026 settling near 11.5%; capex of 10.5% to 11.5% of revenue; leverage between 1.5x and 1.8x; shareholder returns around the statutory minimum of 30% of net income plus opportunistic buybacks. Equity value is about US\$52 per ADS under the stated assumptions. **REASONED**

Catalysts

POTENTIAL CATALYSTS

Catalyst	Timing	Direction
3Q26 results and guidance update	Early November 2026 (date Not Retrieved)	Fuel pass-through evidence
Embraer E195-E2 phase 1 launch, 14 aircraft on 42 routes	November 2026 to March 2027	Cost and network
Deliveries: 28 aircraft in remainder of 2026	2H 2026	Capacity growth
Fuel price normalization	Ongoing	Margin recovery
Buyback execution under the 5% program	Up to five years	Per-share value
Credit rating or refinancing of secured notes	Not Retrieved	Lower interest cost

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Passenger RASK versus fuel cost per ASK	Pass-through of fuel	RASK growth above fuel unit cost growth	Gap widens
Adjusted operating margin	Core profitability	Above 12.5%	Below 11%
Adjusted net leverage	Balance-sheet risk	Under 1.6x	Above 1.8x
Liquidity	Cushion	Above US\$4.7bn	Below US\$4.2bn
Fuel hedge coverage	Margin protection	Added 2027 cover	Left unhedged
Load factor	Demand versus capacity	Above 82%	Below 80%
BRL / USD	Revenue translation	Real stable at or below 5.15	Material real weakness

E. Final Investment Framework

BUSINESS QUALITY	Good. Hub network, loyalty program with 67% share of passenger revenue and a 16.4% operating margin in 2025, offset by cyclical and fuel-dependent economics.
FINANCIAL QUALITY	Good with a thin equity base. Operating cash flow 2.2x net income in FY2025, but equity of only 10.2% of assets and a current ratio of 0.67.
COMPETITIVE POSITION	Strong regionally, moderate moat. Beats Delta and Volaris on margin, trails Copa (15.2% versus 19.4%).
MANAGEMENT	Adequate to good on capital returns (US\$1.19bn returned in 2025, leverage 1.5x); biographies and insider ownership Not Retrieved, so the assessment relies on outcomes.
INDUSTRY	Mature, cyclical, consolidating; IATA expects a 2.1% regional net margin in 2026.
VALUATION	Low multiples (5.3x EV/EBITDA, 8.7x P/E); base DCF about 9% above the price, bear case 43% below, bull 60% above.
TECHNICAL AND MARKET STRUCTURE	Weak in the short term: below the 50 and 200 day averages, RSI 36.0, MACD below signal; beta 0.73 with 32.5% monthly-based volatility.
PRINCIPAL RISK	Sustained high jet fuel prices combined with currency weakness.
PRINCIPAL CATALYST	Evidence in 3Q26 and 4Q26 that yields offset fuel and margins return to 12% to 13% or better.
KEY VARIABLE	Adjusted operating margin through the cycle, driven mainly by the fuel cost to RASK relationship.
THESIS INVALIDATION	The investment thesis would become materially weaker if adjusted net leverage rises above 1.8x, if the adjusted operating margin falls below 10% on a trailing basis, if liquidity drops below US\$4.2bn, or if passenger RASK growth turns lower than fuel unit cost growth for two consecutive quarters.

F. Data Table

COMPANY SNAPSHOT

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market cap	US\$13.7bn	Not Retrieved	Not Retrieved
Market	Enterprise value	US\$20.0bn	Not Retrieved	Not Retrieved
Market	Share price (ADS)	US\$47.92	US\$45.25 (30 Sep 2025)	Up 93% since Jul 2024
Growth	Revenue growth	11.2% (FY2025)	10.2% (FY2024)	10.7% CAGR 2023 to 2025
Profitability	Gross margin	29.2%	25.5%	Up from 24.3% in 2023
Profitability	Operating margin	16.4%	12.0%	Up from 9.3% in 2023
Profitability	Net margin	10.2%	7.6%	Up from 5.0% in 2023
Profitability	ROE	141%	Not meaningful	Thin equity
Profitability	ROIC	27.1%	Not Retrieved	Not Retrieved
Cash flow	Operating cash flow	US\$3.26bn	US\$3.11bn	Up from US\$2.26bn in 2023
Cash flow	Free cash flow	US\$1.49bn	US\$1.69bn	Flat to lower
Leverage	Net debt / EBITDA	1.8x (provider); 1.5x (company)	2.0x (provider)	Down
Valuation	P/E (trailing)	8.7x	About 10.9x (Dec 2025)	Not Retrieved
Valuation	EV/EBITDA	5.3x	Not Retrieved	Not Retrieved
Valuation	P/FCF	7.1x (calculated)	Not Retrieved	Not Retrieved
Market	Beta	0.73 (calculated, monthly); 0.88 (provider)	Not Retrieved	Since relisting
Market	Volatility	43.0% (100-day daily); 32.5% (monthly)	Not Retrieved	Not Retrieved
Market	Maximum drawdown	-27.8% (monthly, since relisting)	Not Retrieved	Not Retrieved

Sources: Alpha Vantage, StockAnalysis, LATAM Airlines Group; derived metrics calculated by the analyst.

G. Sources and Methodology

Primary Sources

LATAM Airlines Group S.A., Form 20-F for fiscal year 2025. Filed March 2026. <https://www.sec.gov/Archives/edgar/data/1047716/000104771626000046/lrm-20251231.htm>. Information obtained: Business description, fleet, risks, shareholders, alliances, competition, fuel share of costs

LATAM Airlines Group S.A., Form 6-K, 2Q 2026 results. 4 August 2026. <https://www.sec.gov/Archives/edgar/data/0001047716/000104771626000087/results-eng2q2026.htm>. Information obtained: Quarterly results, net debt reconciliation, buyback program, dividend policy

LATAM Airlines Group S.A., Earning Release 2Q 2026. 4 August 2026. https://s205.q4cdn.com/986550758/files/doc_financials/2026/q2/Earning-Release-2Q-2026-ENG.pdf. Information obtained: Revenue and cost lines, debt composition, hedging, fleet plan, guidance

LATAM Airlines Group S.A., Results presentation 4Q25. February 2026. https://s205.q4cdn.com/986550758/files/doc_financials/2025/q4/Results-presentation-4Q25.pdf. Information obtained: FY2025 revenue, net income, dividends, buybacks, initial 2026 guidance

LATAM Airlines Group S.A., Press release: LATAM reports US\$125 million in net income for the second quarter. 4 August 2026. <https://ir.latam.com/English/news/press-releases/news-details/2026/LATAM-reports-US125-million-in-net-income-for-the-second-quarter-amid-a-significant-increase-in-fuel-prices-2026-jsi6RWXkfS/default.aspx>. Information obtained: 2Q26 headline figures, liquidity, LATAM Pass statistics

LATAM Airlines Group S.A., Investor relations: management. Accessed 3 October 2026. <https://latamairlines.gcs-web.com/corporate-governance/management>. Information obtained: Executive team names and titles

Secondary Sources

International Air Transport Association, Press release: Middle East disruptions and high fuel prices halve airline industry profitability. June 2026. <https://www.iata.org/en/pressroom/2026-releases/06-07-middle-east-disruptions-high-fuel-prices-halve-airline-industry-profitability/>. Information obtained: Industry profit, margin, fuel assumptions, Latin America outlook

StockAnalysis, LTM, CPA, DAL, VLRS statistics pages. Accessed 3 October 2026. <https://stockanalysis.com/stocks/lrm/statistics/>. Information obtained: Market capitalization, trailing and forward multiples, beta, ROIC, peer metrics (also /stocks/cpa/, /stocks/dal/, /stocks/vlrs/statistics)

Market Data

Alpha Vantage, Daily and monthly adjusted price series for LTM and SPY; income statement, balance sheet and cash flow data for LTM. Data to 2 October 2026. <https://www.alphavantage.co/documentation/>. Information obtained: Prices, volumes, returns, volatility, drawdowns, normalized financial statements

Calculations

Calculated by the analyst: market capitalization and enterprise value, TTM figures from reported quarters, growth rates and CAGRs, margins, free cash flow (operating cash flow less capital expenditure), ROE and ROA on average balances, leverage and liquidity ratios, volatility, beta and correlation (monthly, since July 2024), drawdowns, RSI, MACD, average true range, moving averages, own-history P/E, and all DCF and scenario outputs.

Data cross-check and discrepancies

WHERE SOURCES DIFFER

Item	Source A	Source B	Preferred and why
FY2025 revenue	US\$14,265m (Alpha Vantage)	US\$14,495m (LATAM presentation)	Company figure includes other operating revenue; normalized series used for ratios, company figure used for growth and guidance
FY2025 net income	US\$1,460m	US\$1,462m attributable	Immaterial; company figure for text where noted
2Q26 EBITDA	US\$215m (provider)	US\$713m adjusted (LATAM)	Company adjusted figure; provider quarterly EBITDA appears distorted by classification
2026 net leverage guidance	1.6x (summary)	1.8x (earning release table)	Earning release table, the primary source
Market capitalization	US\$13.66bn (StockAnalysis)	US\$13.76bn (calculated)	Both shown; difference is share count timing
P/FCF	6.1x (provider)	7.1x (calculated)	Calculated, using capex consistent with this report
200-day average	US\$53.51 (StockAnalysis)	Not computable from 100 days of data	Provider value

Fiscal year is the calendar year; all figures in US dollars under IFRS. Geographic revenue split and segment margins were Not Retrieved. Weighted average cost of capital and scenario assumptions are analyst estimates and are labeled as such throughout.

This report has been prepared for personal research purposes only and does not constitute investment advice, financial advice, or a recommendation to buy, sell, or hold any security. The information contained herein has been compiled with the assistance of artificial intelligence and is based on publicly available sources believed to be reliable, but its accuracy and completeness are not guaranteed. Past performance is not indicative of future results. Investors should conduct their own due diligence and consult with a qualified financial professional before making any investment decisions.